

Stereo.HCJDA 38.
Judgment Sheet
IN THE LAHORE HIGH COURT,
MULTAN BENCH, MULTAN
JUDICIAL DEPARTMENT

....

Regular First Appeal No.47 of 2012.

National Highway Authority.

Versus

Senior Civil Judge, (Referee Court), Lodhran.

J U D G M E N T.

Date of hearing: **21.06.2022.**

Appellant by: Mian Muhammad Ashfaq Hassan,
Advocate.

Respondents No.4-5 by: Muhammad Maalik Khan Langah,
Advocate.

AHMAD NADEEM ARSHAD, J. This *Regular First Appeal* u/s 54 of the Land Acquisition Act, 1894 (hereinafter referred to as ***the Act, 1894***), is directed against the judgment and decree dated 18.01.2012 whereby reference u/s 18 of the Act, 1894 filed by the appellant/Authority was dismissed as barred by limitation.

2. Relevant facts necessary for the decision of instant appeal are that appellant/Authority filed a reference u/s 18 of the Act, 1894, on 28.01.2010 against the award dated 03.07.1998. Respondents filed an application under Order VII Rule 11 of the Code of Civil Procedure, 1908, for rejection of the reference on the ground that the same is time barred with the contention that award dated 03.07.1998 was quite in the knowledge of the appellant but Authority filed the reference after almost 12 years. Appellant filed contesting reply of said application. The learned Referee Court framed a legal preliminary issue on the question of limitation as under:

*“Whether the reference is time barred? OP
petitioner/defendant.”*

3. Since the legal question was involved, hence, both the parties did not opt to adduce evidence. Learned Referee Court, after providing an opportunity of hearing to the parties, dismissed the reference vide impugned judgment & decree dated 18.01.2012, by declaring it barred by limitation. Hence, this appeal.

4. Learned counsel appearing on behalf of the appellant maintained that the learned Referee Court erred in law by holding the reference to be barred by time as it has been held/laid down in case titled “NAZAR MUHAMMAD KHAN V. COLLECTOR” (**NLR 1980 REVENUE LAHORE 36**), that the Referee Court is not competent to determine the question of limitation as the Collector is only competent to check the maintainability of reference and he can forward even a time barred claim for judicial determination/adjudication. He adds that it is also a well entrenched principle of law that no limitation runs against void orders and an order obtained through fraud, mis-representation/collusiveness is nullity in the eye of law and liable to be set at naught.

5. On the contrary, learned counsel for the respondents fully supported the impugned judgment and decree of the Referee Court by adding that the reference moved by the petitioner is clearly barred by limitation which was rightly dismissed by the learned Referee Court. In last, he prayed for the dismissal of appeal in hand.

6. I have heard the learned counsel for the parties at length and perused the record with their able assistance.

7. Undeniably, the award was announced on 03.07.1998 and the reference was filed by the appellant on 28.01.2010 after a considerable delay of almost 12 years. Perusal of record shows that although said reference was addressed to Land Acquisition Collector, but it was directly filed before the learned Referee Court. Relevant provision governing the filing of reference is provided in section 18 of the Act, 1894, which reads as under:

Reference to Court.— (1) Any person interested who has not accepted the award may, by written application to the Collector, require that the matter be referred by the Collector for the determination of the Court, whether his objection be to the measurement of the land, the amount of the compensation, the

person to whom it is payable, or the apportionment of the compensation among the persons interested.

(2) The application shall state the grounds on which objection to the award is taken:

Provided that every such application shall be made,—

(a) if the person making it was present or represented before the Collector at the time when he made his award, within six weeks from the date of the Collector's award;

(b) in other cases, within six weeks of the receipt of the notice from the collector under section 12, sub-section (2) or within six months from the date of the Collector's award, whichever period shall first expire.

(3) Notwithstanding anything to the contrary contained in section 21, the Provincial Government may, if it has not accepted the award, refer the matter to the Court within a period of six months from the date of announcement of the award; provided that the Court shall not entertain the reference unless in its opinion there is a prima facie case for inquiry into and determination of the objection against the award].

Sub section (3) was introduced through West Pakistan Ordinance XIV of 1968. Provision of 18(3) of the Act, 1894 has been amended by Land Acquisition (6th amendment) Ordinance, 1992 (VI of 1992) with effect from 07.07.1992, whereby for the words “Provincial Government”, the words “Federal Government”, “Provincial Government” a “Company” or “Local Authority” have been substituted.

8. In this particular case, the land owners have not questioned the award, rather the Authority has challenged the same being result of fraud and collusiveness of the officials of Land Acquisition Collector. Under section 18 sub section (3) referred supra, National Highway Authority can file a reference as appellant Authority was constituted by Federal Government. Reading sub section (1), (2) and (3) of section 18 and section 3(b) of the Act, 1894, conjunctively, it emerges that reference to Court by any “person interested” other than the Government has to be made within the time prescribed by sub-section (1) & (2) of section 18 *ibid*, if the award is not accepted by any such aggrieved person and if the award is not acknowledged by the Government (Federal or Provincial), Company or Local Authority constituted under the Government, in such eventuality the reference can be made directly and without the agency of the Land Acquisition Collector under sub section (3) of section 18. Reliance is placed on the case titled “GOVT. OF WEST

PAKISTAN V. LAND ACQUISITION COLLECTOR” (PLD 1979 LAHORE 54), “THE ADDL. CHIEF SECRETARY V. ASSISTANT COMMISSIONER AND 05 OTHER” (1993 MLD 635).

9. This reference was filed by the appellant/Authority directly in the Court under the mandate of section 18 (3) of the Act, 1894 which provides a period of maximum six months to call into question an award. The reference was filed by the appellant beyond the prescribed period to the learned Referee Court directly, hence, the Court was also competent to go into the question of limitation. The Division Bench of this Court while dealing with similar proposition in a case titled “LAND ACQUISITION COLLECTOR & OTHERS V. MST. FAREEENA SHAUKAT AND OTHERS” (2005 MLD 1530)

held as under:

“Sub section (3) above mentioned is unambiguous in its words and language and has provided that Provincial Government, if is dissatisfied with the award, it can refer the matter to the Court within a period of six months from the date of announcement of the award. The award in the instant case having been announced on 17.08.1980 but the reference was filed with learned District Judge Rahimyar Khan on 13.02.1982, and entrusted to learned Senior Civil Judge, learned Referee Judge on 14.02.1982 was, therefore, clearly barred by time, as prescribed by sub section (3) of Section 18 of the Land Acquisition Act, as referred to above, because it was filed after the prescribed period of six months, as laid down by the aforesaid Section.”

10. In order to consider, whether the reference was made within time, three provisions of the Act, 1894, need to be noticed in this context. The first one is section 12 sub-section (2) of the Act, 1894 which reads as under:

“The Collector shall give immediate notice of his award to such of the persons interested as are not present personally or by their representatives when the award is made.”

Second provision is Section 18 sub-section (2) of the Act, 1894, whereas, third one is sub-section (3) of Section 18 of the Act, 1894 which was introduced through amendment.

12. Section 12 sub-section (2) of the Act, 1894 provides for issuance of notice upon persons interested and section 18 sub-section (2) thereof prescribes the limitation for making application for reference and also contemplate the situation where no notice at all had been served. The provisions of section 18 sub-section (2)(b) provided for both situations, i.e. where a notice had been served and the other one where no notice had been served. In fact, the legislator while drafting the Act made a conscious effort to remove a handicap from which a person who had not been given a notice suffered by giving him an extraordinary period of six months for making application for reference. Under clause (2)(b) of the proviso to the section 18 of the Act, the limitation begins to run as soon as the award is made. In case where a notice had been served, the limitation expires after six weeks of the date of service and in case where the notice has not been served, it comes to an end after six months. The words “*shall first expire*” as occurring in clause (b) leave no room for doubt that the period of six months is the utmost time within which an application for reference can be made by a person dissatisfied with the award. Section 18 (3) of the Act, 1894 provides limitation of six months for the Government. The Act, 1894 has prescribed three different periods of limitation. Six weeks limitation from the date of the award if the applicant was present either personally or through their recognized agent at the time when the award was made. In case the applicant was not present either personally or through his agent, then a six weeks time from the date of the notice received under section 12, subsection (2) or if no notice was served then six months from the date of award. In support of the view, I would like to refer to the case titled “GHULAM MUHAMMAD V. GOVERNMENT OF WEST PAKISTAN” (**PLD 1967 SC 191**) wherein August Supreme Court of Pakistan observed as under:

“The fact that admittedly no notice of the filing of the award was served upon the appellant under section 12(2) of the Act, is in no way, relevant for the purpose of deciding this controversy as to the time within which the objection should be filed for, under section 18, proviso (b), it would appear that if notice is served the period of limitation is only six weeks from the date of Collector’s award. This proviso fixes a special period of limitation and since the Land Acquisition Act does not make the provisions of the Limitation Act applicable it would appear that in the same case of an objection under section 18 the maximum period allowable is six months from the date of making the award in accordance with section 11.”

The same view was expressed by a Division Bench of West Pakistan in a case titled “**ATTA MUHAMMAD V. ASSISTANT COMMISSIONER (PLD 1961 BJ 69)**”. Reliance is further placed on the cases titled “**PROVINCE OF PUNJAB V. SHER MUHAMMAD AND ANOTHER” (PLD 1983 LAHORE 578)**”, “**MUHAMMAD AFZAL AND OTHERS V. GOVERNMENT OF SINDH (1993 MLD 414)**”, “**PORT QASIM AUTHORITY THROUGH SECRETARY V. EXECUTIVE DISTRICT OFFICER (REVENUE) KARACHI AND OTHERS (2017 YLR NOTE 14)**”, **ABDUL MALIK AND OTHERS V. PROVINCE OF THE PUNJAB AND OTHERS (2019 MLD 39)**”.

13. Taking stalk of the above discussion, I have left with no doubt in my mind that a maximum period of six months was available to the appellant for making reference against the award. Appellant/Authority brought the reference with a considerable and indigestible delay of almost 12 years. No plausible explanation is available on the record to suggest that he remained ignorant of the award for such a long period. Hence, learned Referee Court was fully competent to adjudicate upon the question of limitation and by passing the impugned judgment/decreed no illegality or irregularity has been committed by the Referee Court. Learned counsel for the appellant failed to point out any illegality, irregularity or misreading and non-reading of record on the part of Referee Court.

14. As far as the case law referred to by the learned counsel for the petitioner is concerned, it is observed that the same is distinguishable from the case in hand especially in the circumstances when the reference is made by the appellant/Authority with

longstanding and unexplained delay of 12 years directly to the learned Referee Court.

15. As an inevitable corollary of above discussion, instant Regular First Appeal is without any merits, hence, the same is hereby **dismissed** with no order as to costs.

(AHMAD NADEEM ARSHAD)
JUDGE.

APPROVED FOR REPORTING.

JUDGE.

M. Arsalan.*